

TOPIC 7B

THE BUSINESS PLAN: FEASIBILITY ANALYSIS

Chapter Learning Outcomes

1. Describe what a feasibility analysis is and choose when to create one.
2. Explain what a feasibility analysis is.
3. Describe the components of a feasibility analysis.
4. Undertake a feasibility analysis for their business ideas

Feasibility Analysis: Does My Idea Work?

The time and energy involved in generating and exploring business ideas can be extensive, with the SBA reporting that, for many entrepreneurs, the process can take years.



“If you don’t know where you are going, any road will get you there.” — Lewis Carroll, English author

Feasibility Analysis: Does My Idea Work?

Feasibility Analysis - a study to assist in making the go/no go decision based on a close examination of product/service, market, industry, and financial data in a sufficient degree of detail to ensure confidence in the results.

The feasibility analysis essentially tests a business concept for viability in three areas:

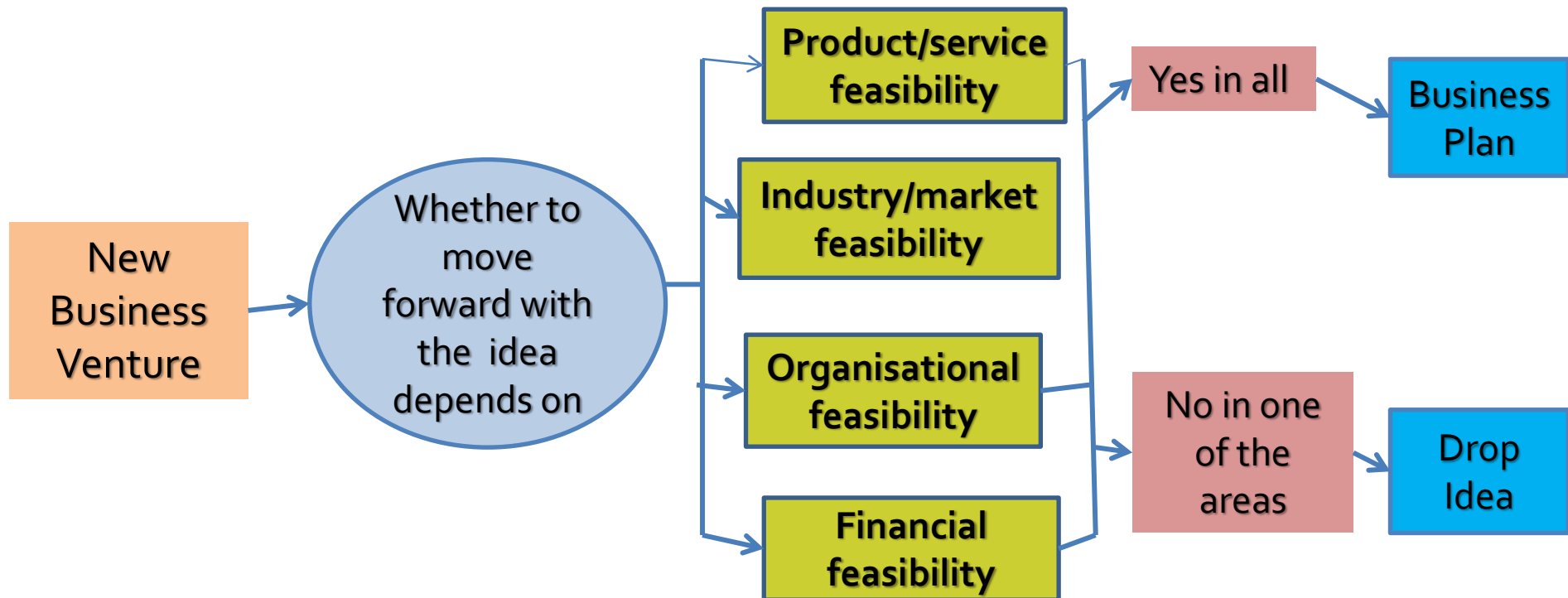
1. product and/or service feasibility,
2. market and industry feasibility,
3. organizational feasibility and
4. financial feasibility.

Feasibility Analysis Defined

Feasibility Analysis is defined as the process of determining if a business idea is viable" (Barringer and Ireland, 2006)

The Role of A Feasibility Study

A preliminary study that helps us to determine whether to pursue an idea



Source: Barringer and Ireland (2006)

Product/Service Feasibility Analysis

- Whether the product/service appeals to the intended market
- **Benefits of doing a product feasibility analysis**
 - Get it right the first time – ask the customers to determine their wants
 - Early adopter – capture participants of study as first customers
 - Avoidance of flaws in product/service design – test of usability by prospective customers
 - Efficient use of capital – better idea that is wanted by customers
 - More insight into additional product/service offering

Two primary tests = Concept testing
Usability testing

Product Service Feasibility Analysis Tests

- **Concept Testing** -

- Validation of the idea behind the idea
- Development of the idea/service through feedback
- Estimation of the potential market
 - Questionnaire, e.g.
 - How likely would you be to buy the product/service:

Most Likely

Most Unlikely

- **Usability Testing**

- ease of use – ask friends and relatives
 - lab facilities
- Develop Prototype or Model – interactive exercise as customer and designer have to agree. (Research and development design process)

Analyzing Product and/or Service Feasibility

Entrepreneurs are often described as committed to their business idea.

- They take on an almost religious zeal and essentially fall in love with the concept of the product or service, creating a fantasy of what the business will be.
- A product or service is only worthwhile pursuing if it can be produced and delivered at a profit in an ongoing manner.
- In order to avoid such unwelcome surprises, you can create the production design for your product and create a working model, called a **prototype**, fabricated for testing by laboratories and prospective customers.

Analyzing Product and/or Service Feasibility

It is important to perform this feasibility study in order to avoid wasting valuable resources.

An amazing product or innovative service would not necessarily translate into enough sales to sustain your business.



*A prototype of new technology
(Patrick Breig/Shutterstock)*

ANALYZING FINANCIAL FEASIBILITY

Having completed the product or service feasibility analysis and also conducted one for the market and industry, you can complete the process by assessing the financial viability of your business idea.

- This analysis does not need to be detailed.
- The amount of start-up capital required will be a function of the size and type of organization you are starting.
- An entrepreneur can assess feasibility better with a reasonable projection of revenues, based on anticipated pricing and volumes.
- Finally, cost factors should be calculated and returns on investment projected.

ANALYZING FINANCIAL FEASIBILITY

- In short, you need to establish what your initial capital requirements are. e.g. total start up cash needed/ initial financial requirements?
- Capital expenditure
- Production forecast (**saleable volumes**)
- Breakeven – volumes/sales value
- Unit Cost
- Unit Sale Price
- Sales forecast (**volumes & monetary value**). Make sure that the sales are tied to production volumes.
- Overall financial attractive (*amount of capital invested, risks assumed in launching the business, existing alternatives for money being invested, existing alternative for entrepreneurs' time and efforts, etc.*).

ANALYZING FINANCIAL FEASIBILITY

- A quick financial assessment for a new venture's capital requirements
- an estimate of the funds needed to launch the new venture
 - Hiring of personnel
 - Office space, equipment
 - Training
 - Research and development
 - Marketing
 - Initial product rollout
 - **YOU DO NOT NEED TO OWN A RESOURCE TO BE ABLE TO USE IT (BOOSTRAPPING) – NETWORKING IS KEY**
 - The **golden rule it to keep the fixed costs as low as possible**, could access resources through business incubation, networks, partnerships and collaboration

ORGANISATIONAL FEASIBILITY ANALYSIS

Answers questions on the management of the new venture:

- Management expertise
- Organisational competence
- Resources

Analysis focuses on:

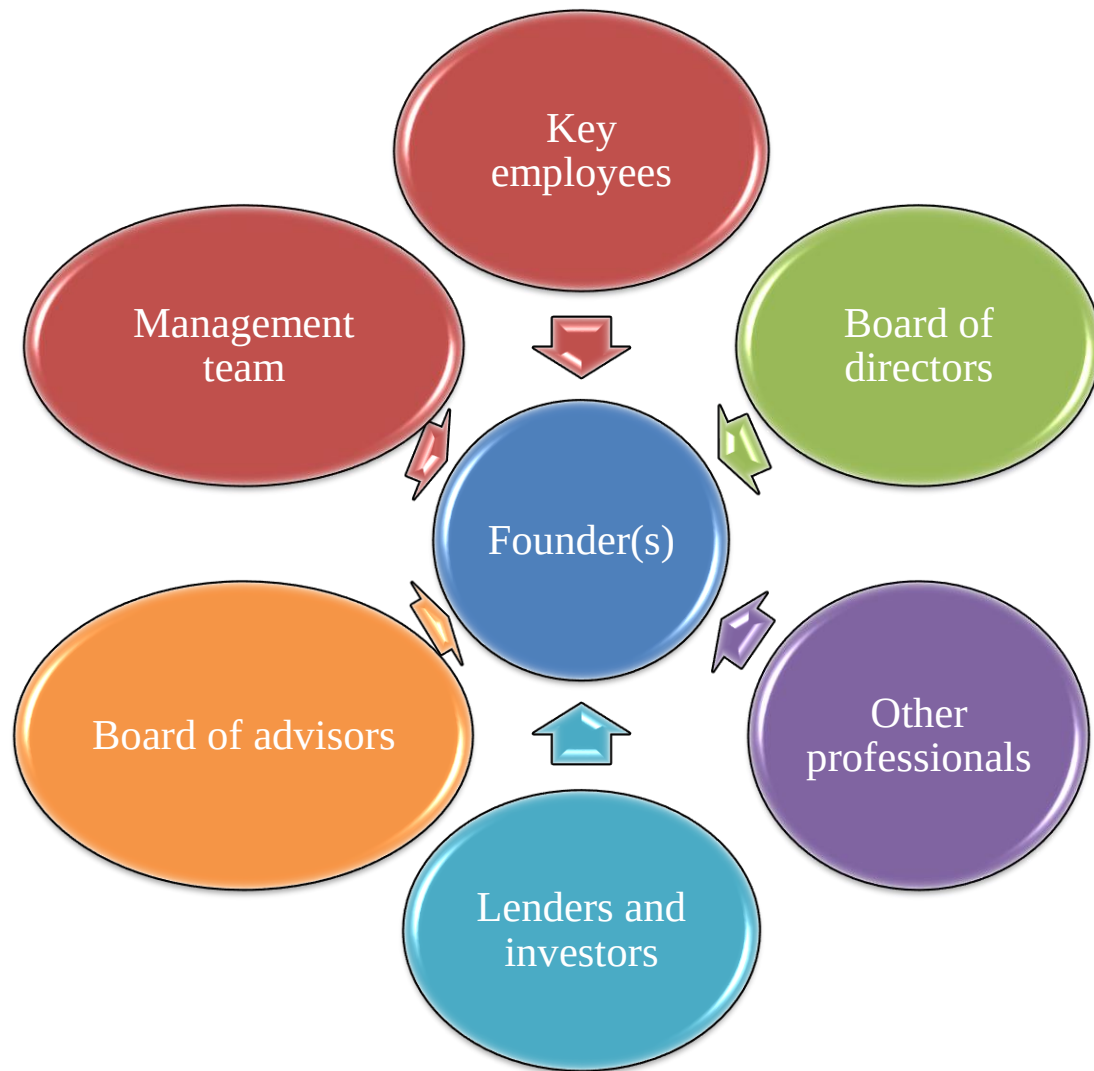
1. Management prowess or ability – introspection on:

- Passion for business
- Understanding of the markets that the new venture will be entering
- Professional and social networks to close experience and knowledge gaps
- The type of venture team (founders, employees, advisors) to assemble and their willingness to join the new venture

NEW VENTURE TEAM

- “A new venture team is a group of founders, key employees and advisors that move the venture from an idea to a fully functioning firm”
- Built gradually as the new venture grows and could afford more personnel
- Other than employees, the new venture could also have a board of advisors and other professionals to give directions and advice to the new venture
- Strength of the team is determined by experienced personnel and “access to good quality advice”

ORGANISATIONAL FEASIBILITY - TEAM



“A new venture team is a group of founders, key employees and advisors that move the venture from an idea to a fully functioning firm”

- Experienced personnel
- Access to good quality advice”

Source: Barringer and Ireland (2006)

PREFERRED ATTRIBUTES OF FOUNDERS

Attribute	Reasons
Teams	Diverse: resources, view points, talent, ideas, professional contacts, Strength in teams of prior work mates, heterogeneous vs homogeneous Big teams (More than 4) result in communication breakdown
Higher Education	Entrepreneurial skills, e.g. creativity, computer skills and specific skills such as engineering, biochemistry, etc. are enhanced
Prior Entrepreneurial Experience	Familiarity with business start-up, hence likely to avoid pitfalls
Relevant Industry Experience	Established professional networks and marketing and management expertise
Broad Social And Professional Network	Potential access to know-how, capital and customer referrals

ORGANISATIONAL FEASIBILITY ANALYSIS

Resource Sufficiency (Non Financial) – to facilitate development of the product or service idea

- Office space, quality of labour pool in the area and IP potential
- Less obvious resource needs: customers, suppliers, employees, financiers and landlords
- Need credibility to assemble resources - difficult for small firms as access to one resource is dependent on access to the other.
- Credibility at start up assessed based on the strength of the team

WHAT IS INDUSTRY ANALYSIS?

Industry

- “An assessment of the overall appeal of the market for the product or service being proposed” (Barringer and Ireland, 2006 p 61)
- A group of firms producing a similar product or service, or products that are close substitutes, such as music, Pilates and yoga studios, and solar panel manufacturing.
- Firms use a rich mix of different competitive strategies to pursue above-average returns when competing in a particular industry.
- An industry’s structural characteristics influence a firm’s choice of strategies

Industry Analysis

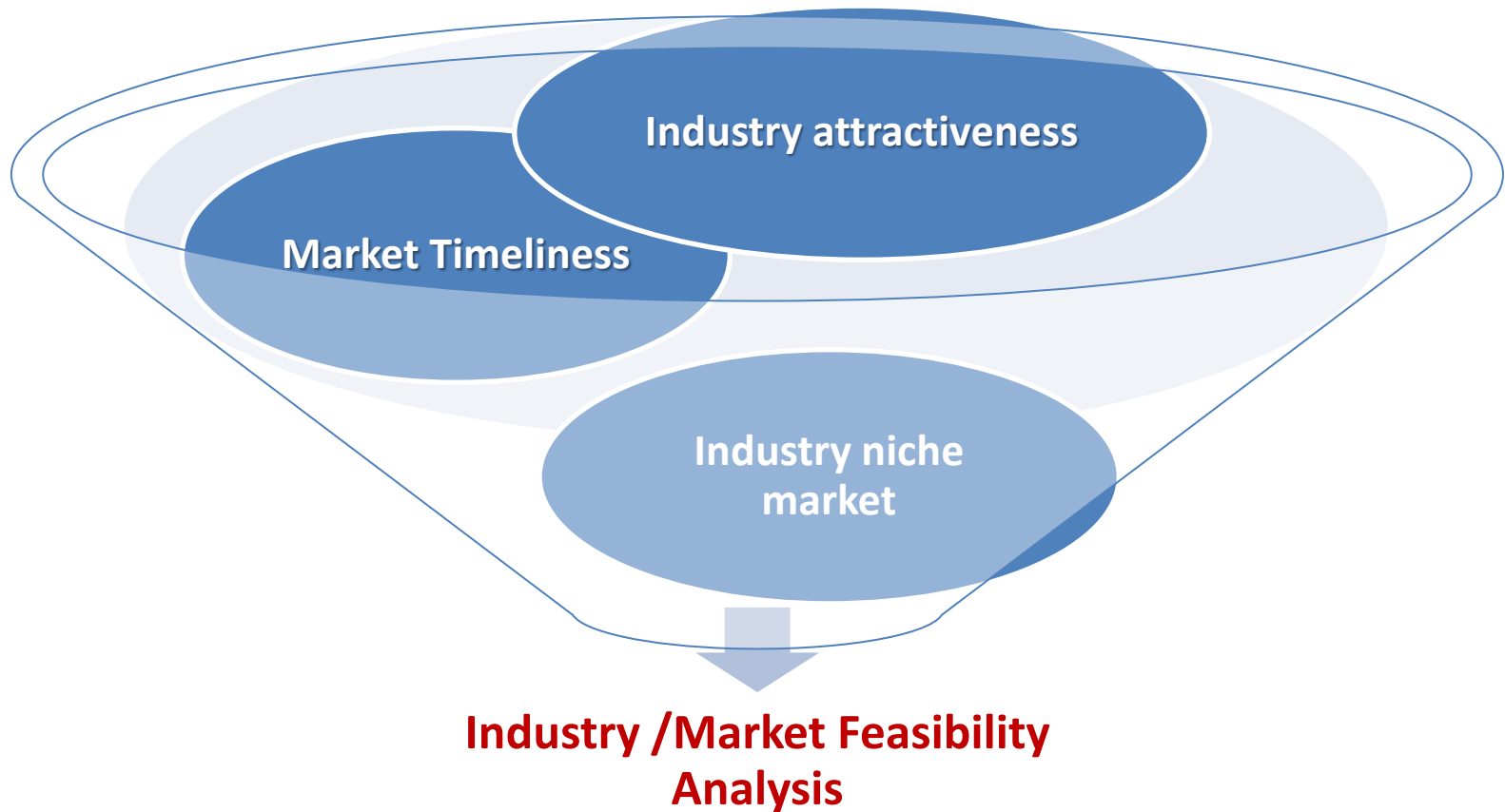
- Is business research that focuses on the potential of an industry.
- Is an assessment of the overall appeal of the industry and the target market for the proposed business.
- Industry analysis focuses on the potential of an industry.

WHY IS INDUSTRY ANALYSIS IMPORTANT?

Importance

- Once it is determined that a new venture is feasible in regard to the industry and market in which it will compete, a more in-depth analysis is needed to learn the ins and outs of the industry.
- The analysis helps a firm determine if the target market it identified during feasibility analysis is favorable for a new firm.

ISSUES ADDRESSED BY INDUSTRY/MARKET FEASIBILITY ANALYSIS



SEO Life Cycle Chart



Industry Attractiveness

- Industry Attractiveness
 - Industries vary in terms of their overall attractiveness.
 - In general, the most attractive industries have the characteristics depicted on the next slide.
 - Particularly important—the degree to which environmental and business trends are moving in favor rather than against the industry.

Techniques Available to Assess Industry Attractiveness

- **Assessing Industry Attractiveness**

Study Environmental
and Business Trends

The Five Competitive
Forces Model

Studying Industry Trends

- **Environmental Trends**
 - Include economic trends, social trends, technological advances, and political and regulatory changes.
 - For example, industries that sell products to seniors are benefiting by the aging of the population.
- **Business Trends**
 - Other trends that impact an industry.
 - For example, are profit margins in the industry increasing or falling? Is innovation accelerating or waning? Are input costs going up or down?

Industry Attractiveness

Characteristics of Attractive Industries

- Are young rather than old.
- Are early rather than late in their life cycle.
- Are fragmented rather than concentrated.
- Are growing rather than shrinking.
- Are selling products and services that customers “must have” rather than “want to have.”
- Are not crowded.
- Have high rather than low operating margins.
- Are not highly dependent on the historically low price of key raw materials.

Three Key Questions

When studying an industry, an entrepreneur must answer three questions before pursuing the idea of starting a firm.

Is the industry accessible—in other words, is it a realistic place for a new venture to enter?

Does the industry contain markets that are ripe for innovation or are underserved?

Are there positions in the industry that avoid some of the negative attributes of the industry as a whole?

Industry Attractiveness - Research

To know more about the industry/market, entrepreneurs conduct:

- **Primary Research** – original, collected by the entrepreneur
- By talking to potential customers and key industry participants
- **Secondary Research** – uses data that has already been collected – e.g. Industry reports, statistics and competitors' websites

From this exercise, one should have information on:

- Market size figures, projected growth rate of the industry to provide evidence that the entrepreneur is entering a large and growing market – **Secondary research is ideal**
- Where the entrepreneur enters a completely new market, with breakthrough products and services – **primary research is essential**

Market Timeliness

Timeliness of the introduction of a product or service:

Improvement to an existing product/service	Breakthrough product/service
• Is the window of opportunity open. • More competitors = barriers to entry • e.g. internet search engines highly competitive • e.g. Speciality entries – wide windows of opportunities	• First mover advantage – an advantage gained by the first significant company to enter the market. e.g. Nokia • Advantages • Set standards in the industry • Brand recognition • Disadvantages • High research and development costs • Second mover can learn from the mistakes made by the first mover to build a better product
• Economics of the marketplace , i.e. Lifecycle, e.g. Acquisitions and takeovers could mean the industry is consolidating = not a good time to enter the market	

Market Niche

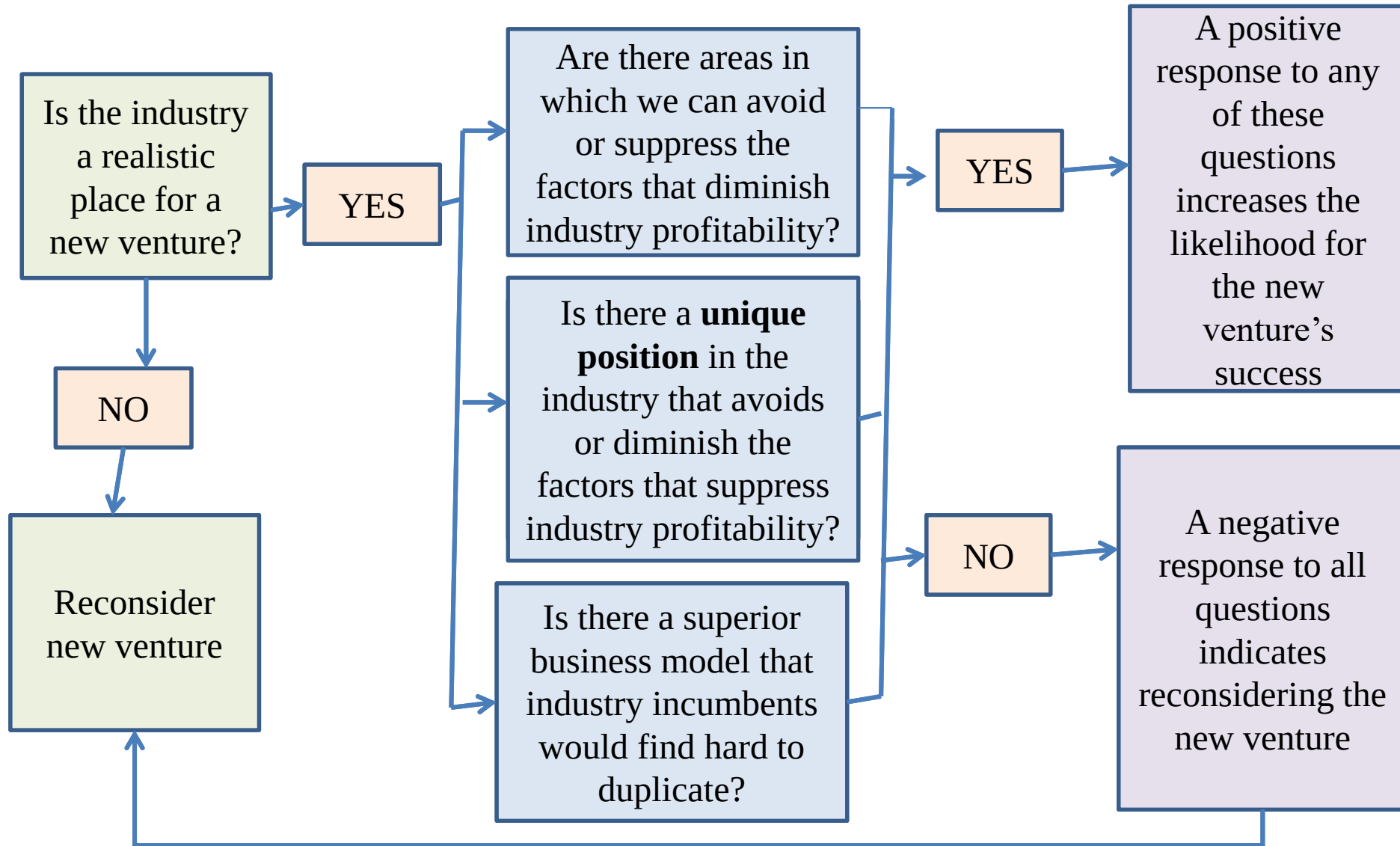
- Market Niche is “ a place within a large market segment that represent a narrower group of customers with similar interests” (Barringer and Ireland, 2006)
- It is an identification of an emerging market , or an underserved niche with a large market
- Market niche enables the firm to serve a specialised market, a good strategy for a new entrant which does not have resources to meet the needs for a larger market (depth not breadth)
- Without a market niche, it is impossible to justify the industry market feasibility of a new venture

INDUSTRY/MARKET FEASIBILITY

1. To assess market attractiveness

Competitive forces	Threats to Industry Profitability		
	Low	Medium	High
Threat of substitutes			
Threat of new entrants			
Rivalry among existing firms			
Bargaining power of suppliers			
Bargaining power of buyers			

INDUSTRY/ MARKET FEASIBILITY



A NEW-VENTURE IDEA CHECKLIST

Basic Feasibility of the Venture

1. Can the product or service work?
2. Is it legal?

Competitive Advantages of the Venture

1. What specific competitive advantages will the product or service offer?
2. What are the competitive advantages of the companies already in business?
3. How are the competitors likely to respond?
4. How will the initial competitive advantage be maintained?

Buyer Decisions in the Venture

1. Who are the customers likely to be?
2. How much will each customer buy, and how many customers are there?
3. Where are these customers located, and how will they be serviced?

Marketing of the Goods and Services

1. How much will be spent on advertising and selling?
2. What share of market will the company capture? By when?
3. Who will perform the selling functions?
4. How will prices be set? How will they compare with the competition's prices?

5. How important is location, and how will it be determined?
6. What distribution channels will be used—wholesale, retail, agents, direct mail?
7. What are the sales targets? By when should they be met?
8. Can any orders be obtained before starting the business?
How many? For what total amount?

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Production of the Goods and Services

1. Will the company make or buy what it sells? Or will it use a combination of these two strategies?
2. Are sources of supplies available at reasonable prices?

3. How long will delivery take?
4. Have adequate lease arrangements for premises been made?
5. Will the needed equipment be available on time?
6. Do any special problems with plant setup, clearances, or insurance exist? How will they be resolved?
7. How will quality be controlled?
8. How will returns and servicing be handled?
9. How will pilferage, waste, spoilage, and scrap be controlled?

Staffing Decisions in the Venture

1. How will competence in each area of the business be ensured?
2. Who will have to be hired? By when? How will they be found and recruited?
3. Will a banker, lawyer, accountant, or other advisers be needed?
4. How will replacements be obtained if key people leave?
5. Will special benefit plans have to be arranged?

Control of the Venture

1. What records will be needed? When?
2. Will any special controls be required? What are they?
Who will be responsible for them?

Financing the Venture

1. How much will be needed for development of the product or service?
2. How much will be needed for setting up operations?
3. How much will be needed for working capital?
4. Where will the money come from? What if more is needed?

1. Which assumptions in the financial forecasts are most uncertain?
2. What will be the return on equity, or sales, and how does it compare with the rest of the industry?
3. When and how will investors get their money back?
4. What will be needed from the bank, and what is the bank's response?

Competitive Environment

1. Who would be the new venture's current competitors?
2. What unique resources do they control?
3. What are their strengths and weaknesses?

- How will they respond to the new venture's decision to enter the industry?
- How can the new venture respond?
- Who else might see and exploit the same opportunity?
- Are there ways to co-opt potential or actual competitors by forming alliances?